FIXED INCOME RESEARCH

November 9 – 13, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
5.10%	**4.86%**	**89 bps**	**320 bps**
▲ 16 bps MTD	▲ 30 bps MTD	▼ 5 bps MTD	▼ 24 bps MTD

WORD ON THE DESK

The week ending November 13, 2026 delivered a sharp reversal in fixed income markets, as a hawkish Fed repricing shattered what had been a constructive five-week rally in Treasuries and snapped investor confidence in a near-term easing pivot. Rate volatility spilled well beyond U.S. borders, rattling European and Japanese sovereign markets and reinforcing the 'higher-for-longer' thesis that many portfolios had begun to fade. Against this backdrop, credit markets told a bifurcated story — investment-grade total returns suffered under the weight of rising rates, while high-yield's tighter spreads and shorter duration profile provided relative insulation. With the 10-year now pressing against psychologically significant levels and global duration sell-offs broadening, portfolio managers should reassess benchmark duration exposure and lean into quality carry while remaining cautious on rate-sensitive long-end positioning.

MARKET COMMENTARY

01 A dramatic late-week hawkish Fed repricing snapped a five-week streak of yield declines, driving 10-year Treasury yields to a near three-week high of 5.125% and 30-year yields to 5.45% by Friday, November 13 [DATA: as of 2026-11-12]. The sell-off was sharp and broad-based, reversing post-election flight-to-safety momentum that had pushed the 10-year as low as 4.86% through November 9, as 'higher-for-longer' fears resurfaced with force and erased a full week of bullish positioning.

→ The speed of the reversal underscores how fragile the late-October/early-November rally had become — the five-week streak of yield declines was driven largely by geopolitical risk-off flows and post-election demand, not a fundamental repricing of Fed policy expectations.

→ The spillover into European markets was notable, with German 2-year yields rising approximately 17 basis points for their sharpest weekly increase in two months, and Japanese 10-year yields climbing to their highest level since late October — suggesting this is a global duration repricing, not a purely domestic event.

02 The Treasury curve steepened modestly on a week-over-week basis as the long end bore disproportionate pressure, with the 2-year yield closing at 4.86% [DATA: as of 2026-11-12] versus a month-start level of 4.56%, and the 10-year at 5.10% [DATA: as of 2026-11-12] versus 4.94% at month-start, widening the 2s10s spread from 38 basis points to 24 basis points on a month-to-date basis. The 30-year closed at 5.43% [DATA: as of 2026-11-12] compared to a month-start level of 5.31%, with the 2s30s spread narrowing from 75 basis points to 57 basis points month-to-date, reflecting the market's reassessment of terminal rate expectations.

→ On a year-over-year basis, the magnitude of the rate reset is striking — the 2-year is 128 basis points higher than a year ago (3.58%), the 10-year is 99 basis points higher (4.11%), and the 30-year is 73 basis points higher (4.70%), underscoring persistent repricing pressure across the curve.

→ The 5-year at 4.95% [DATA: as of 2026-11-12] versus a month-start level of 4.71% reflects the market's hawkish recalibration of the belly — a key area to monitor for signs of policy credibility.

03 Investment-grade corporate credit spreads tightened modestly on a month-to-date basis, with the IG OAS closing at 89 basis points [DATA: as of 2026-11-12], 5 basis points tighter than month-start levels, but total returns for IG corporates were deeply negative at -0.71% MTD [DATA: as of 2026-11-12] as rising benchmark yields overwhelmed any benefit from spread compression. The rate-driven total return drag illustrates a critical dynamic in the current environment: spread cushion in IG is insufficient to offset duration risk when yields are moving 20-30 basis points in a compressed timeframe.

→ Primary market technicals likely remained supportive of spread levels, as corporate issuers with pre-planned calendar deals continued to absorb investor demand, though elevated all-in coupon costs are beginning to test the appetite of more rate-sensitive borrowers.

→ With IG spreads at 89 basis points and yields above 5% on the benchmark, all-in yields on IG corporates are approaching levels that historically attract significant asset allocator rotation from equities — a potential technical support layer if spreads hold.

04 High-yield corporate credit outperformed on a relative basis, with HY OAS closing at 320 basis points [DATA: as of 2026-11-12], tightening 24 basis points month-to-date, and HY total returns posting a positive 0.27% MTD [DATA: as of 2026-11-12] — a stark contrast to the negative returns in investment-grade. HY's shorter effective duration and tighter-spread momentum proved meaningful buffers against the rate sell-off, with the month-to-date spread compression of 24 basis points more than offsetting the modest duration headwind from rising yields.

→ The divergence between HY and IG total returns this month is a textbook illustration of duration-spread tradeoff dynamics: HY's lower duration (~3.5-4 years) insulated returns in a rising rate environment, while IG's longer duration (~6-7 years) amplified the rate drag.

→ Risk appetite in HY remains a constructive signal for broader credit markets, though at 320 basis points, HY spreads leave limited room for further compression without improvement in the macro or earnings outlook — investors should be selective on credit quality within the asset class.

05 Agency MBS and securitized sectors faced renewed headwinds from the late-week rate surge, as the sharp rise in long-end yields — particularly the 30-year hitting 5.45% — extended the duration profile of agency MBS pools and pressured prepayment-sensitive structures through reduced refinancing incentive. No specific excess return data for Agency MBS is available in this week's dataset, but the rate environment — with the 30-year at 5.43% and mortgage rates likely in the 7.0-7.5% range — continues to suppress prepayment speeds, creating extension risk and challenging total return profiles for current coupon MBS holders.

→ Slower prepayments are a double-edged sword in the current environment: while they provide near-term coupon stability, extension of weighted average life into a higher-for-longer rate backdrop reduces the attractiveness of MBS relative to similarly rated corporate alternatives on a spread-adjusted basis.

→ Given the global nature of this week's yield sell-off, overseas demand for Agency MBS — historically a price-supportive technical — may face headwinds as foreign investors grapple with their own rising domestic yields and hedging costs.

06 A meaningful intra-week reversal in market tone illustrates the interplay of geopolitical and monetary policy forces: through November 9, investors had been seeking safety in Treasuries following the U.S. election, with the 2-year falling 8 basis points to 4.51%, the 5-year falling 8 basis points to 4.65%, and the 10-year falling 7 basis points to 4.86%, reflecting four consecutive weeks of flight-to-quality demand. By Thursday and Friday, November 13, those gains were fully reversed and then some, as hawkish Fed repricing and the resurgence of higher-for-longer fears overwhelmed geopolitical risk-off flows — a powerful reminder that monetary policy remains the dominant pricing regime for fixed income.

→ The event sequence this week — geopolitical calm driving yields lower early, then a Fed repricing shock driving yields sharply higher — highlights the binary nature of the current macro backdrop and the difficulty of sustaining directional duration trades.

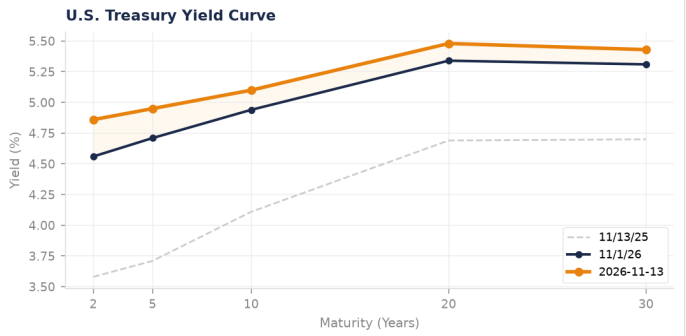
→ Forward-looking, the key catalyst to watch is incoming inflation data and any formal Fed communication that could either validate or challenge the hawkish repricing embedded in Friday's close — a softer CPI print could quickly reverse this week's moves.

07 No formal Fed speakers were scheduled or catalogued in this week's data payload; however, the late-week market event described as a 'hawkish Fed repricing' implies a significant shift in rate expectations — whether driven by Fedspeak, minutes, or data — that markets treated as a material policy signal. The absence of attributed individual speaker commentary makes it impossible to assign specific stances to individual officials, but the market's response — a 10-year spike to 5.125% and 30-year to 5.45% — was decisive and broad, suggesting the repricing was not idiosyncratic but reflected a genuine reassessment of the Fed's policy trajectory.

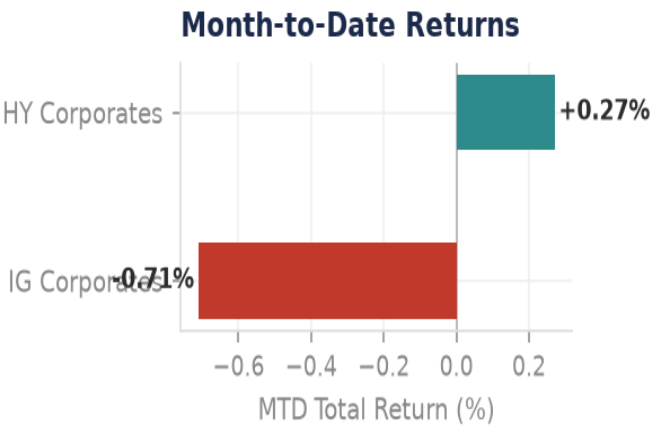
→ Until formal Fed communications are on record for the week, portfolio managers should treat Friday's yield close as the market's best estimate of the policy-adjusted term structure and size duration accordingly.

→ The next key inflection points will be any scheduled FOMC communications, CPI releases, or labor market data that could either confirm the hawkish repricing or provide cover for a tactical duration add.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.86	4.95	5.10	5.48	5.43
MTD (bps)	+30	+24	+16	+14	+12



Sector	OAS (bps)	MTD Chg
IG Corporate	89	-5
HY Corporate	320	-24

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.86%	2026-11-12	FRED:DGS2
5yr Treasury	4.95%	2026-11-12	FRED:DGS5
10yr Treasury	5.10%	2026-11-12	FRED:DGS10
20yr Treasury	5.48%	2026-11-12	FRED:DGS20
30yr Treasury	5.43%	2026-11-12	FRED:DGS30
IG OAS	89.0 bps	2026-11-12	FRED:BAMLC0A0CM
HY OAS	320.0 bps	2026-11-12	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	-0.71%	2026-11-12	FRED:BAMLCC0A0CMTRIV

HY Corporates MTD Return	+0.27%	2026-11-12	FRED:BAMLHYH0A0HYM2TRIV